

Chapter 1 Introduction

QUESTION: what do you mean by mode of production ???

Definition of Capitalism:

Capitalism as the dominant social, political, and economic system, first of western Europe and later of much of the world, emerged very slowly over a period of several centuries. that capitalism is an economic system that functions very differently from previous economic systems and from contemporary noncapitalist systems.

Economic systems according to the mode of production which is defined by the forces of production and the social relations of production.

The forces of production constitute what would commonly be called the productive technology of a society. These consist of the current state of productive or technical knowledge, skills, organizational techniques, and so forth, as well as the tools, implements, machines, and buildings involved in production. Within any given set of forces of production there are certain necessary costs that must be met in order to insure the system's continued existence.

A social surplus is defined as that part of a society's material production that is left over after the necessary material costs of production have been deducted.

Societies have generally divided into two separate groups. The vast majority of people in every society has toiled to produce the output necessary to sustain and perpetuate the mode of production as well as the social surplus, while a small minority has appropriated and controlled it. Social classes are distinguished accordingly; the social relations of production are defined as the relationships between these two classes. A mode of production, then, is the social totality of the technology of production (the forces of production) and the social arrangements by which one class uses these forces of production to produce all output including the surplus and another class appropriates the surplus (the social relations of production).

QUESTION: What are the four sets of institutional and behavioural arrangements that characterize capitalism???? Elaborate.

OR, what are the behavioural arrangements of capitalism??? Describe those with economic perspective.

Capitalism characteristics:

Capitalism is characterized by four sets of institutional and behavioral arrangements:

- 1) market-oriented commodity production
- 2) private ownership of the means of production
- 3) a large segment of the population that cannot exist unless it sells its labor power in the market
- 4) individualistic, acquisitive, maximizing behavior by most individuals within the economic system.

- 1) In capitalism, the products of human labor are valued for two distinct reasons.

First, products have particular physical characteristics by virtue of which they are usable and satisfy human needs. When a commodity is valued for its use in satisfying our needs, it is said to have use value. All products of human labor in all societies have use value. In capitalism, products are also valued because they can be sold for money in the market. This money is desired because it can be exchanged for products that have a desired use value. Insofar as products are valued because they can be exchanged for money, they are said to have exchange value. Products of human labor have exchange value only in modes of production characterized by commodity production. A society must have a well-developed market in which products can be freely bought or sold for money in order for commodity production to exist.

It is a means of acquiring money by exchanging the product for money, which, in turn, may be used to acquire products desired for their use value. Under such conditions, the products of human labor are commodities, and the society is described as a commodity-producing society.

The social relationship is also mediated by the market. Commodity production implies a high degree of productive specialization, in which each isolated producer creates only one or a few commodities and then must depend on other individuals, with whom he or she has no direct personal relations, to buy the commodities on the market.

2) The second defining feature of capitalism is private ownership of the means of production. This means that society grants to private persons the right to dictate how the raw materials, tools, machinery, and buildings necessary for production can be used.

producers do not own the means necessary to carry on their productive activity. Ownership came to be concentrated in the hands of a small segment of society-the capitalist. An owner-capitalist needed to play no direct role in the actual process of production in order to control it; ownership itself granted control. And it was this ownership that permitted the capitalist to appropriate the social surplus. Thus, ownership of the means of production is the feature of capitalism that bestows the power on the capitalist class by which it controls the social surplus, and, thereby, establishes itself as the dominant social class.

3) the third defining feature of capitalism existence of a large working class that has no control over the means necessary to carry out their productive activity. In capitalism, most workers own neither the raw materials nor the implements with which they produce commodities. Consequently, the commodities that they produce do not belong to them but rather are owned by the capitalists who own the means of production. The typical worker enters the market owning or controlling only one thing-the capacity to work, that is, his or her labor power. In order to engage in productive activity, the person must sell his or her labor power to a capitalist. In return, the person receives a wage and produces commodities that belong to the capitalist. Thus, unlike any prior mode of production, capitalism turns human productive power itself into a commodity-labor power-and generates a set of conditions in which the majority of people cannot live unless they are able to sell their commodity, labor power, to a capitalist for a wage. With the wage, they are able to buy back from the capitalists only a portion of the commodities that they themselves have produced. The remainder of the commodities that they produce constitutes the social surplus and is retained and controlled by the capitalist class.

4) The fourth and final defining feature of capitalism is that most people are motivated by individualistic, acquisitive, maximizing behavior. This is necessary for the successful functioning of capitalism.

First, in order to assure an adequate supply of labor and to facilitate the strict control of workers, it is necessary that working people produce commodities whose value is far in excess of the value of the commodities that they consume.

Secondly, capitalists have also been driven to acquisitive, combative behavior. The most immediate reason for this is the fact that capitalism has always been characterized by a competitive struggle among capitalists to secure larger shares of the social surplus. In this endless struggle the power of any given capitalist depends on the amount of capital that he or she controls. capitalism has always been characterized by the frantic effort of capitalists to make more profits and to convert these profits into more capital.

Thus, Consumerism among capitalists has also been important for the successful functioning of capitalism. In the process of production, after the workers have produced surplus value, the capitalists own this surplus value in the form of the commodities that the workers have produced. In order for this surplus value to be converted into monetary profit, these commodities must be sold on the market. The workers can usually be counted on to spend all of their wages on commodities, but their wages can purchase only some of the commodities (or else there would be no social surplus). Capitalists will purchase many of the commodities as investments to add to their accumulation of capital. But these two sources of demand have never been adequate to generate enough spending for the capitalists as an entire class to sell all of their commodities. Therefore, a third source of demand, ever-increasing consumption expenditures by capitalists, has also been necessary to assure adequate money demand to enable capitalists to sell all of their commodities.

QUESTION: Describe the contribution of the catholic church and technological movement at the pre capitalist European Economy.

Economy Precapitalist European

Feudalism-the socioeconomic system that preceded capitalism in western Europe. The decline of the western part of the old Roman Empire left Europe without the laws and protection that the empire had provided. The vacuum was filled by the creation of a feudal hierarchy, in which the serf, or peasant, was protected by the lord of the manor, who, in turn, owed allegiance to and was protected by a higher overlord. So the system went, ending eventually with the king.

Custom and tradition are the keys to understanding medieval relationships. There was no strong central authority in the Middle Ages that could have enforced a system of laws. The entire medieval organization was based on a system of mutual obligations and services up and down the hierarchy. The lord was as obligated to protect the serf as the serf was to turn over a portion of his crop to or perform extensive labor for the lord.

The basic economic institution of medieval rural life was the manor, which contained within it two separate classes: noblemen, or lords of the manors, and serfs (from the Latin word servus, "slave"). Serfs were not really slaves. Unlike a slave, who was simply property to be bought and sold at will, the serf could not be parted from either his or her family or land. If the serf's lord transferred possession of the manor to another nobleman, the serf simply had another lord.

The lord lived off the labor of the serfs who farmed his fields and paid taxes in kind and money according to the custom of the manor. Similarly, the lord gave protection, supervision, and administration of justice according to the custom of the manor. It must be added that although

the system did rest on reciprocal obligations, the concentration of economic and political power in the hands of the lord led to a system in which, by any standard, the serf was exploited in the extreme.

The Catholic Church was by far the largest owner of land during the Middle Ages. Secular lords might shift their loyalty from one overlord to another, depending on the circumstances and the balance of power involved, but the religious lords always had (in principle at least) a primary loyalty to the church in Rome. This was also an age during which the religious teaching of the church had a very strong and pervasive influence throughout western Europe. These factors combined to make the church the closest thing to a strong central government throughout this period.

The religious lords and the secular nobility were the joint ruling classes; they controlled the land and the power that went with it. In return for very onerous appropriations of the serf's labor, produce, and money, the nobility provided military protection, and the church provided spiritual aid.

In addition to manors, medieval Europe had many towns, which were important centers of manufacturing. Manufactured goods were sold to manors and sometimes traded in long-distance commerce. The dominant economic institutions in the towns were the guilds—craft, professional, and trade associations that had existed as far back as the Roman Empire. If anyone wanted to produce or sell any good or service, that person had to join a guild.

Salvation demanded that the individual lead an orderly life based on church teachings and custom. Thus, the guilds exerted a powerful influence as conservators of the status quo in the medieval towns.

Medieval society was predominantly an agrarian society. The social hierarchy was based on individual's ties to the land, and the entire social system rested on an agricultural base. Yet, ironically, increases in agricultural productivity were the original impetus for a series of profound changes, occurring over several centuries, which resulted in the dissolution of medieval feudalism and the beginnings of capitalism. The most important technological advance in the Middle Ages was the replacement of the two-field system of crop rotation with the three-field system. Although there is evidence that the three-field system was introduced into Europe as early as the eighth century, its use was probably not widespread until around the eleventh century.

Yearly sowing of the same land would deplete the land and eventually make it unusable. Consequently, in the two-field system, half of the land was always allowed to lie fallow in order to recover from the previous year's planting. With the three-field system, arable land was divided into three equal parts. Rye or winter wheat would be planted in the fall in the first field. Oats, beans, or peas would be planted in the spring in the second field, and the third field would lie fallow. Every year there was a rotation of these positions. Any given piece of land would have a fall planting one year, a spring planting the next year, and none the third. A dramatic increase in agricultural output resulted from this seemingly simple change in agricultural technology. With the same amount of arable land, the three-field system increased the amount under cultivation at any particular time by as much as 50 percent. The three-field system led to other important changes. Spring sowing of oats and other fodder crops enabled the people to support more horses, which began to replace oxen as the principal source of power in

agriculture. Horses were much faster than oxen, and, consequently, the region under cultivation could be extended. The costs of transporting agricultural products were substantially reduced in the thirteenth century when the four-wheeled wagon with a pivotal front axle replaced the two-wheeled cart. These improvements in agriculture and transportation contributed to two important and far-reaching changes. First, they made possible a rapid increase in population growth. The best historical estimates show that the population of Europe doubled between 1 000 and 1 300. Second, closely related to the expansion of population was a rapid increase in urban concentration.

The growth of towns and cities led to a growth of rural-urban specialization. With urban workers severing all ties to the soil, the output of manufactured goods increased impressively. Along with increased manufacturing and increased economic specialization came many additional gains in human productivity. Interregional, long-distance trade and commerce was another very important result of this increased specialization.

Question: Describe the following steps regarding transition from feudalism to capitalism

a) The increase in long distance trade

The Increase in Long-Distance Trade

Many historians have argued that the spread of trade and commerce was the single most important force leading to the disintegration of medieval feudalism. The growth of agricultural productivity meant that a surplus of food and handicrafts was available for local and international markets. The improvements in power and transportation meant that it was possible and profitable to concentrate industry in towns, to produce on a mass scale, and to sell the goods in a widespread, long-distance market.

The principal force in either the dissolution of feudalism or the creation of capitalism. While the transition from feudalism to capitalism coincided with increases in commerce in western Europe, and while commerce definitely was an important force in the dissolution of feudalism and the growth of capitalism there, increases in commercial activity in eastern Europe tended to contribute to the consolidation and perpetuation of feudal social and economic relationships.

The initial impetus to its dissolution was the fact that, despite the increases in productivity, the social surplus became increasingly less adequate to support a rapidly growing ruling class. This led to increasingly severe and irreconcilable conflicts within the ruling class. Within the context of these acute conflicts among various segments of the nobility and the church, commerce became a corrosive, destabilizing force.

The expansion of trade, particularly long-distance trade in the early period, led to the establishment of commercial and industrial towns to service this trade. The growth of these cities and towns, as well as their increased domination by merchant capitalists, led to important changes in both industry and agriculture. Each of these areas, particularly agriculture, weakened and ultimately dissolved the traditional ties that held together the feudal economic and social structures.

some long-distance trade had been carried on throughout many parts of Europe. This trade was very important in southern Europe on the Mediterranean and Adriatic seas and in northern Europe on the North and Baltic seas. Between these two areas of commercialism, however, the feudal manorial system in most of Europe was relatively unaffected by commerce and trade

until the later Middle Ages. The development of trade with the Arabs and with the Vikings in the north led to increased production for export and to the great trade fairs that flourished from the twelfth through the late fourteenth centuries.

By the fifteenth century, the fairs were being replaced by commercial cities where year-round markets thrived. The trade and commerce in these cities were incompatible with restrictive feudal customs and traditions. Generally the cities were successful in gaining independence from church and feudal lords. Within these commercial centers there arose complex systems of currency exchange, debt-clearing, and credit facilities, and modern business instruments like bills of exchange came into widespread use. New systems of commercial law developed. It became the basis of the modern capitalist law of contracts, negotiable instruments, agency sales, and auctions.

In the manorial handicraft industry, the producer (the master craftsman) was also the seller. The industries that burgeoned in the new cities, however, were primarily export industries in which the producer was distant from the final buyer. Craftsmen sold their goods wholesale to merchants, who in turn transported and resold them. Another important difference was that the manorial craftsman was also generally a farmer. The new city craftsman gave up farming to devote himself to his craft, with which he obtained a monetary income that could be used to satisfy other individual needs.

Question: show the transition process from feudalism to capitalism

a) The putting out system and the birth of capitalist industry

The Putting-Out System and the Birth of Capitalist Industry

As trade and commerce thrived and expanded, the need for more manufactured goods and greater reliability of supply led to increasing control of the productive process by the merchant-capitalist. By the sixteenth century, the handicraft type of industry, in which the craftsman owned the workshop, tools, and raw materials and functioned as an independent, small-scale entrepreneur, had been largely replaced in the exporting industries by the putting-out system.

In the later period of the putting-out system, the merchant-capitalist owned the tools and machinery and often the building in which the production took place. The merchant-capitalist hired workers to use these tools, furnished them with the raw materials, and took the finished products.

The textile industries were among the first in which the putting-out system developed. Weavers, spinners, fullers and dyers found themselves in a situation where their employment, and hence their ability to support themselves and their families, depended on the merchant-capitalists, who had to sell what the workers produced at a price that was high enough to pay wages and other costs and still make a profit.

Capitalist control was, then, extended into the process of production. At the same time, a labor force was created that owned little or no capital and had nothing to sell but its labor power.

Capitalism became dominant only when the relationship that existed between capitalists and workers in the sixteenth-century export industries was extended to most of the other industries in the economy. For such a system to evolve, the economic self-sufficiency of the feudal manor had to be broken down and manorial customs and traditions undermined or destroyed.

Agriculture had to become a capitalist venture in which workers would sell their labor power to capitalists, and capitalists would buy the labor power only if they expected to make a profit in the process.

QUESTION: what are the major causes behind the decline of manorial system ???

OR, Describe the following steps regarding transition from feudalism to capitalism

b) Decline of manorial system

Decline of the Manorial System

Before a complete system of capitalism could emerge, however, the force of capitalist market relations had to invade the rural manor, the bastion of feudalism. This was accomplished as a result of the vast increase of population in the new trading cities. Large urban populations depended on the rural countryside for food and much of the raw materials for export industries. These needs fostered a rural-urban specialization and a large flow of trade between the rural manor and the city. The lords of the manors began to depend on the cities for manufactured goods and increasingly came to desire luxury goods that merchants could sell them.

The peasants on the manor also found that they could exchange surpluses for money at the local grain markets; the money could be used to purchase commutation of their labor services. Commutation often resulted in the peasant very nearly becoming an independent small businessman.

Another force that brought the market into the countryside, which was closely related to commutation, was the alienation of the lords' demesnes. The lords who needed cash to exchange for manufactured goods and luxuries began to rent their own lands to peasant farmers rather than having them farmed directly with labor service obligations. This process led increasingly to a situation in which the lord of the manor was simply a landlord in the modern sense of that term. In fact, he very often became an absentee landlord, as many lords chose to move to the cities or were away fighting battles.

The breakup of the manorial system, however, stemmed more directly from a series of catastrophes in the late fourteenth and fifteenth centuries. The Hundred Years' War between France and England (1337-1453) created general disorder and unrest in those countries. The Black Death was even more devastating. On the eve of the plague of 1348-49, England's population stood at 4 million. By the early fifteenth century, after the effects of the wars and the plague, England had a scant 2.5 million population. This was fairly typical of trends in other European countries. The depopulation led to a desperate labor shortage, and wages for all types of labor rose abruptly. Land, now relatively plentiful, began to rent for less.

These facts led the feudal nobility to attempt to revoke the commutations they had granted and to reestablish the labor service obligations of the serfs and peasants (peasants were former serfs who had attained some degree of independence and freedom from feudal restrictions). They found, however, that the clock could not be turned back. The market had been extended into the countryside, and with it had come greater freedom, independence, and prosperity for the peasants. They bitterly resisted efforts to reinstate the old obligations, and their resistance did not go unchallenged.

Describe show the transition process from feudalism to capitalism

b) creation of working class and other forces.

Creation of the Working Class

The early sixteenth century is a watershed in European history. It marks the vague dividing line between the old, decaying feudal order and the rising capitalist system. After 1500, important social and economic changes began to occur with increasing frequency, each reinforcing the other and all together ushering in the system of capitalism. Among the most important of these changes were those creating a working class that was systematically stripped of any control over the production process and forced into a situation in which the sale of its labor power was its only means of survival.

The increase in population was accompanied by the enclosure movement, which had begun in England as early as the thirteenth century. The feudal nobility, in ever increasing need of cash, fenced off, or enclosed, lands that had formerly been used for communal grazing, using the lands to graze sheep to satisfy the booming English wool and textile industries' demand for wool. The sheep brought good prices, and a minimal amount of labor was needed to herd them.

The enclosures and the increasing population further destroyed the remaining feudal ties, creating a large new labor force—a labor force without land, without any tools or instruments of production, and with only labor power to sell. This migration to the cities meant more labor for the capitalist industries, more men for the armies and navies, more men to colonize new lands, and more potential consumers, or buyers, of products.

The craftsmen and merchants in the guilds that steps taken to minimize their number would serve to monopolize their crafts and to increase their incomes. Increasing numbers of urban producers came to be denied any means of independent production as the guilds became more exclusive. In this way, a considerable portion of the new working class was created within the towns and cities.

Many of the farmers and craftsmen who were thus uprooted and denied access to their former means of production became vagabonds and beggars. Even more attempted to secure a subsistence by squatting on marginal, unused lands where they could grow crops for their own use. Harshly repressive laws were passed against such farming and against being an unemployed vagabond. Therefore, when force, fraud, and starvation were insufficient to create the new working class, criminal statutes and government repression were used.

QUESTION: Elaborate on other forces in transition to capitalism.

Other Forces in the Transition to Capitalism

Other sources of change were also instrumental in the transition to capitalism. Among these was the intellectual awakening of the sixteenth century, which fostered scientific progress that was promptly put to practical use in navigation. The telescope and the compass, which enabled men to navigate much more accurately for much greater distances, ushered in the "Age of Exploration." Within a short period, Europeans had charted sea routes to India, Africa, and the Americas. These discoveries had a twofold importance: first, they resulted in a rapid and large flow of precious metals into Europe; and second, they ushered in a period of colonization.

During the sixteenth century, prices rose in Europe between 150 and 400 percent, depending on the country or region chosen. Prices of manufactured goods rose much more rapidly than either rents or wages. In fact, the disparity between prices and wages continued until late in the seventeenth century. This meant that both the landlord class (or feudal nobility) and the working class suffered, because their incomes rose less rapidly than their expenses. The capitalist class was the great beneficiary of the price revolution. It received larger and larger profits as it paid lower real wages and bought materials that appreciated greatly as it held the materials as inventories.

These larger profits were accumulated as capital. Capital refers to the materials that are necessary for production, trade, and commerce and consists of all tools, equipment, factories, raw materials, goods in process, means of transporting goods, and money. There are physical means of production in every kind of economic system. Capital refers to more than simply physical objects; it refers to a complex set of social relations. Defining features of the capitalist system is the existence of a class of capitalists who own the capital stock. It is by virtue of their ownership of this capital that they derive their profits. These profits are then plowed back or used to augment the capital stock. The further accumulation of capital leads to more profits, which leads to more accumulation, and the system continues in an upward spiral.

The term capitalism describes this system of profit seeking and accumulation very well. Ownership of capital is the source of profits and hence the source of further accumulation of capital. The four most important sources of the initial accumulation of capital were (1) the rapidly growing volume of trade and commerce, (2) the putting-out system of industry, (3) the enclosure movement, and (4) the great price inflation. There were several other sources of initial accumulations, some of which were somewhat less respectable and often forgotten-for example, colonial plunder, piracy, and the slave trade.

During the sixteenth and seventeenth centuries, the putting-out system was extended until it was common in most types of manufacturing. Although this was not yet the modern type of factory production, the system's increased degree of specialization led to significant increases in productivity. Technical improvements in shipbuilding and navigation also lowered transportation costs. Thus, during this period, capitalist production and trade and commerce thrived and grew very rapidly. The new capitalist class (or middle class or bourgeoisie) slowly but inexorably replaced the nobility as the class that dominated the economic and social system.

The emergence of the new nation-states signaled the beginning of the transition to a new dominant class. The new monarchs usually drew on the bourgeois capitalist class for support in their efforts to defeat feudal rivals and unify the state under one central power. In return, the monarch relied on the capitalists for much needed sources of revenues.

Mercantilism

The earliest phase of mercantilism, usually called bullionism, originated in the period during which Europe was experiencing an acute shortage of gold and silver bullion, and, hence, did not have enough money to service the rapidly expanding volume of trade. Bullionist policies were designed to attract a flow of gold and silver into a country and to keep them there by prohibiting their export. These restrictions lasted from the late Middle Ages into the sixteenth and seventeenth centuries.

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After the bullionist period, the mercantilists' desire to maximize the gold and silver within a country took the form of attempts by the government to create a favorable balance of trade, that is, to have more money coming into a country than was flowing out. Thus, exports of goods as well as things such as shipping and insuring (when performed by countrymen and paid for by foreigners) were encouraged, and imports of goods and shipping and insurance charges paid to foreigners were discouraged.

One of the most important types of policies designed to increase the value of exports and decrease that of imports was the creation of trade monopolies.